Maven Toys

Pricing Strategy Analysis

A Data-Driven Business Case Study

By Benas Baranovskis

The Problem

Revenue ≠ Profit

$14.4M

Total Revenue

27.8%

Overall Margin

The products driving the most revenue are NOT always driving the most profit.

Maven Toys generates $14.4M in revenue – but with only 27.8% margin, there is significant pricing opportunity left on the table.

Product Portfolio Matrix

4 quadrants — 4 different strategies

⭐ STAR

High Revenue + High Margin

Colorbuds
$834k profit | 45.86% margin
→ Protect & optimize carefully

💎 HIDDEN GEM

Low Revenue + High Margin

Jenga
Strong margin, low volume
→ Reduce price to drive volume

🐄 CASH COW

High Revenue + Low Margin

Lego Bricks
High volume, weak margin
→ Test price increase

🐕 DOG

Low Revenue + Low Margin

Low performers
Weak on both dimensions
→ Review or discontinue

Strategy 1 — Cash Cows

Raise the price on high-volume, low-margin products

Lego Bricks

High revenue rank | Bottom tier margin

Problem

Sells well but contributes little profit per unit

Action

Test 5-8% price increase in 5 pilot stores

Outcome

$20-30k additional annual profit if volume holds

⚠ **Risk:** Lego is a branded product. Customers may be price-aware. Run a controlled pilot before full rollout and monitor volume impact closely.

Recommendation: Pilot in 5 Downtown stores over 8 weeks. If volume decline < 5% → roll out across all stores.

Strategy 2 — Stars

Incremental optimization on top-performing products

🎧 Colorbuds

$834k profit | 45.86% margin | #1 profit rank

$834k	45.86%	+$40-50k
Total Profit	Margin	Est. extra profit (5% price rise)

🚨 **URGENT:** Colorbuds has only 0.2 months of stock remaining. Pricing strategy is irrelevant if the product is out of stock.

Restock Colorbuds IMMEDIATELY – then apply 3-5% incremental price increase.

Strategy 3 – Hidden Gems

Reduce price to unlock volume potential

Jenga

Strong margin | Low revenue rank | Underperforming volume

Strong Margin → **Price -10-15%** → **Volume +25%+**

Margin absorbs price reduction. Volume increase compensates. Total profit improves.

⚠ **Risk:** Price reductions are easy to implement and hard to reverse. Customers anchor to the lower price. Pilot first.

The Bottom Line

Margin management is the lever

🐄 Cash Cows

Raise price +5-8%

$20-30k potential

Pilot first

⭐ Stars

Optimize +3-5%

$40-50k potential

Pilot first

💎 Hidden Gems

Reduce price -10-15%

Volume driven gain

Pilot first

🚨 **Most urgent action: Restock 20 CRITICAL products ($210k at risk) before December peak.**

Full project → github.com/BenatrixB/data-portfolio-projects